

Japan Autos & Auto Parts

Best of Times, Worst of Times: How K-shaped polarization is reshaping Japan's auto market



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"It was the best of times, it was the worst of times". The famous opening line of Charles Dickens' 'A Tale of Two Cities' captures a period of contradiction: the French aristocracy indulging in opulence and privilege, the peasantry experiencing poverty and oppression. While 2026 is thankfully not 18th century France, shifting class dynamics remain more topical than ever, from the US K-shaped economy to the squeezed Chinese middle class. In this note, we examine how K-shaped polarization is reshaping Japan's auto market, weakening affordability, and changing automakers' competitive positioning.

K-shaped polarization is reshaping Japan's auto market: Demand in Japan's auto market is becoming polarized between low-end and high-end vehicles. Between 2015 and 2025, monthly new car purchase spending per household declined as much as 22% among lower-income households, while increasing as much as 32% among higher-income households. Car ownership also became more polarized, with the ownership rate gap between lower-income and higher-income households widening from 27%p to 30%p. Polarization is also visible in currently owned vehicle prices. The share of low-end vehicles priced below JPY 1 mn increased from 1% in 2017 to 6% in 2025, while the share of high-end vehicles priced above JPY 5 mn rose from 6% to 15%. In contrast, the share of vehicles priced at JPY 1-2 mn, the largest volume segment, declined from 46% to 19%.

Affordability pressure is weakening car ownership among lower-income households: Rising financial burdens from car ownership are affecting demand. Japan's real monthly disposable income declined 5% from its 2020 peak of JPY 499 thousand to JPY 476 thousand in 2025, reflecting inflation. The impact of weaker real purchasing power was more pronounced among lower-income households. In 2025, the proportion of households describing car ownership costs as a financial burden reached 44% among lower-income households, compared with 29% among higher-income households.

Automakers with exposure to both low-end and high-end demand are better positioned: K-shaped polarization in Japan's auto market could increasingly affect automakers' sales mix and profitability. In 2025, the combined domestic sales mix of the lowest-priced segment below JPY 2 mn and the highest-priced segment above JPY 5 mn was highest for Suzuki at 74% and Toyota at 43%, followed by Honda at 38%, Mazda at 37%, Nissan at 29%, and Subaru at 10%. Meanwhile, operating margins in Japan were also highest for Toyota at 11% and Suzuki at 9%, followed by Nissan at 0%, Mazda at -5%, Subaru at -11%, and Honda at -14%. This suggests that automakers with exposure to both low-end and high-end segments tend to maintain higher profitability under a K-shaped demand environment, with **Toyota** and **Suzuki** appearing relatively well positioned.

Shared mobility benefits as car ownership becomes less affordable: Japan's shared mobility market, including car sharing and ride sharing, is expanding alongside K-shaped polarization. As the economic rationality of car ownership declines, some ownership demand could shift toward shared mobility. As the market expands, automakers may increasingly need to focus not only on manufacturing and sales, but also on recurring revenue generation across the vehicle lifecycle and downstream service capabilities.

BERNSTEIN TICKER TABLE

Ticker	Rating	24 Jun 2026		Price Target	TTM Rel. Perf.	Reported EPS				Reported P/E (x)		
		Cur	Closing Price			Cur	2025A	2026E	2027E	2025A	2026E	2027E
7203.JP (Toyota)	O	JPY	2,686.00	4,200.00	(39.2)%	JPY	295.25	308.93	367.29	9.1	8.7	7.3
7269.JP (Suzuki)	O	JPY	1,883.50	2,550.00	(36.4)%	JPY	227.69	234.71	255.99	8.3	8.0	7.4
7267.JP (Honda)	M	JPY	1,391.50	1,300.00	(47.0)%	JPY	(106.06)	161.84	147.24	(13.1)	8.6	9.5
7201.JP (Nissan)	U	JPY	301.00	350.00	(57.7)%	JPY	(152.58)	4.78	53.06	(2.0)	62.9	5.7
7261.JP (Mazda)	U	JPY	1,072.00	1,000.00	(18.1)%	JPY	55.64	116.61	142.17	19.3	9.2	7.5
7270.JP (Subaru)	U	JPY	2,375.00	2,350.00	(50.4)%	JPY	125.50	222.96	249.75	18.9	10.7	9.5
JPL			2,627.28									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

INVESTMENT IMPLICATIONS

We rate Toyota Outperform with an updated price target of JPY 4,200.00.

We rate Suzuki Outperform with a price target of JPY 2,550.00.

We rate Honda Market-Perform with a price target of JPY 1,300.00.

We rate Nissan Underperform with a price target of JPY 350.00.

We rate Subaru Underperform with an price target of JPY 2,350.00.

We rate Mazda Underperform with a price target of JPY 1,000.00.

DETAILS

K-SHAPED POLARIZATION IS RESHAPING JAPAN'S AUTO MARKET

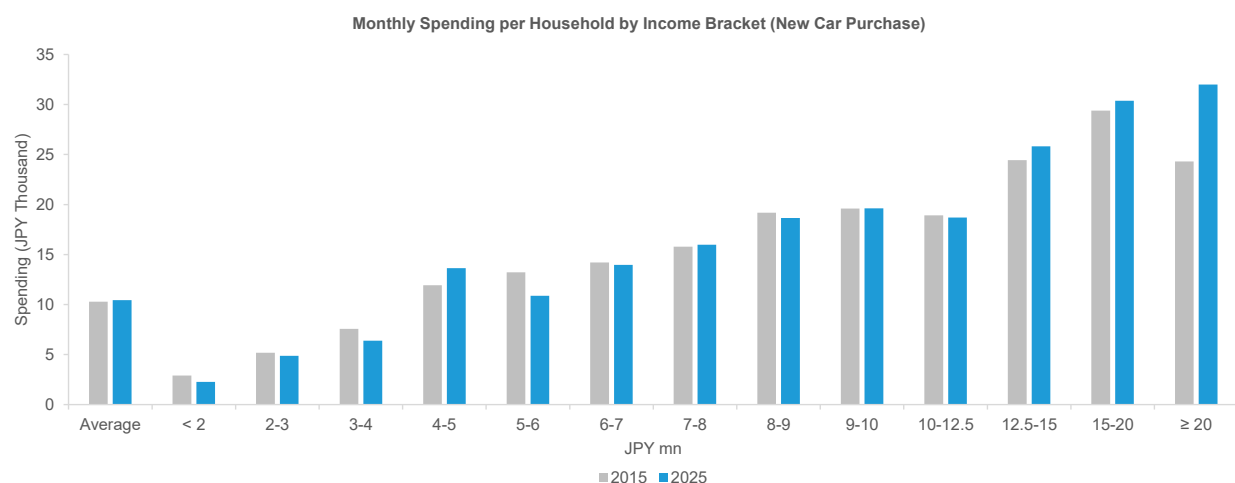
Higher-income households are spending more while lower-income households are spending less

From 2015 to 2025, monthly new car purchase spending per household in Japan increased only marginally from JPY 10.3 thousand to JPY 10.5 thousand, up 2%, suggesting limited change at the aggregate level. However, a clear divergence emerged between lower-income and higher-income households when viewed by income bracket (Exhibit 1). In this part, households with annual income below JPY 4 mn are classified as lower-income households, while households with annual income above JPY 12.5 mn are classified as higher-income households, based on the income categories defined by Japan's Ministry of Internal Affairs and Communications.

Among lower-income households with annual income below JPY 4 mn, monthly new car purchase spending declined across all income brackets. More specifically, spending among households earning below JPY 2 mn declined 22%, from JPY 2.9 thousand to JPY 2.3 thousand. Households earning JPY 2-3 mn also declined 6%, from JPY 5.2 thousand to JPY 4.9 thousand, while households earning JPY 3-4 mn declined 16%, from JPY 7.6 thousand to JPY 6.4 thousand.

Meanwhile, among higher-income households with annual income above JPY 12.5 mn, monthly new car purchase spending increased across all income brackets. More specifically, spending among households earning JPY 12.5-15 mn increased 6%, from JPY 24.4 thousand to JPY 25.8 thousand. Households earning JPY 15-20 mn also increased 3%, from JPY 29.4 thousand to JPY 30.4 thousand, while households earning above JPY 20 mn increased 32%, from JPY 24.3 thousand to JPY 32.0 thousand.

EXHIBIT 1: Among lower-income households with annual income below JPY 4 mn, new car purchase spending declined across all income brackets, while among higher-income households with annual income above JPY 12.5 mn, new car purchase spending increased across all income brackets



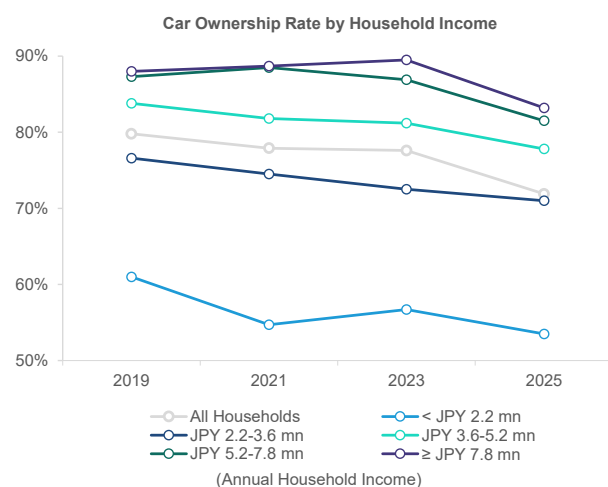
Source: Ministry of Internal Affairs and Communications, Bernstein analysis

K-shaped polarization is likely to progress not only in current car ownership, but also in future new car demand in Japan's auto market

From here onward, households with annual income below JPY 3.6 mn are classified as lower-income households, while households with annual income above JPY 7.8 mn are classified as higher-income households, based on the income categories defined by JAMA (Japan Automobile Manufacturers Association). Against the backdrop of Japan's broader trend of declining interest in car ownership, the overall car ownership rate in Japan declined from 80% in 2019 to 72% in 2025, down 8%p (Exhibit 2).

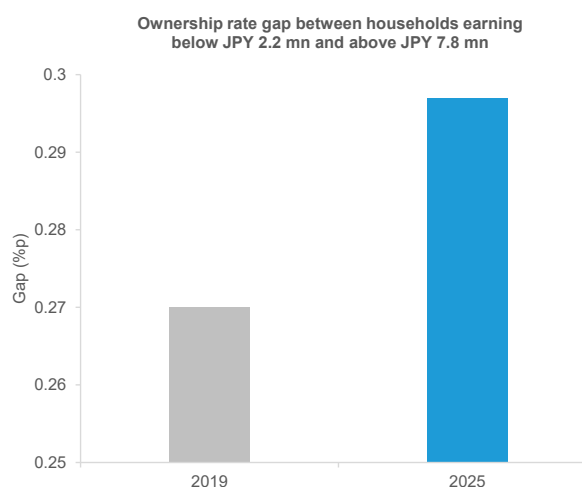
Meanwhile, by income bracket, lower-income households saw a larger decline in car ownership rates. Among lower-income households earning below JPY 2.2 mn, car ownership declined from 61% to 54%, down 7%p. Households earning JPY 2.2-3.6 mn also saw a 6%p decline, from 77% to 71%. In contrast, among higher-income households earning above JPY 7.8 mn, car ownership declined only 5%p, from 88% to 83%. The ownership gap between households earning below JPY 2.2 mn and those earning above JPY 7.8 mn also widened from 27%p in 2019 to 30%p in 2025, suggesting increasing polarization in car ownership (Exhibit 3).

EXHIBIT 2: Car ownership rates declined more sharply among lower-income households, with the gap between households earning below JPY 2.2 mn and above JPY 7.8 mn widening from 27%p in 2019 to 30%p in 2025



Source: JAMA, Bernstein analysis

EXHIBIT 3: The gap in car ownership rates between households earning below JPY 2.2 mn and those earning above JPY 7.8 mn also widened from 27%p in 2019 to 30%p in 2025

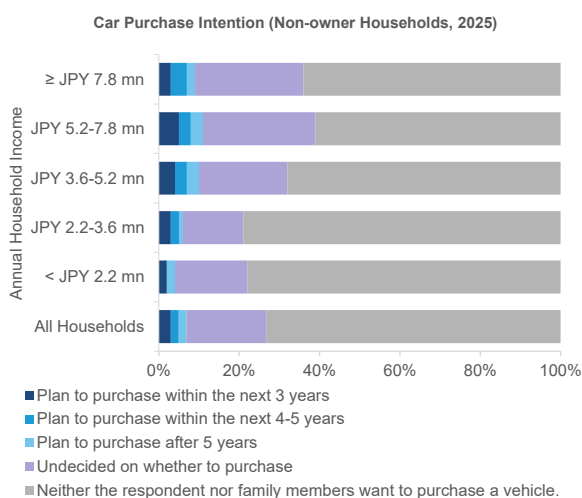


Source: JAMA, Bernstein analysis

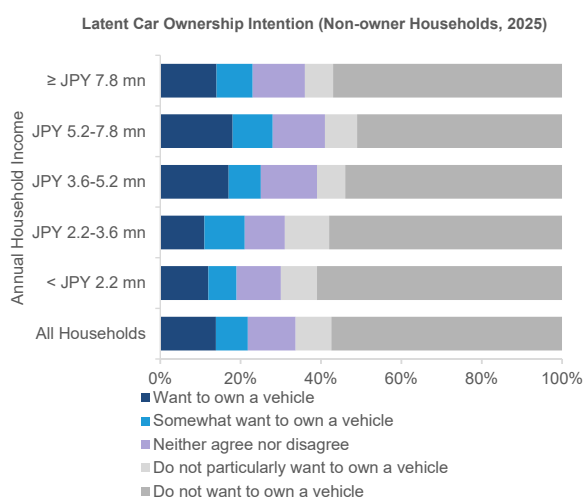
Car purchase intention among non-owner households also shows weaker demand among lower-income households and stronger demand among higher-income households. As of 2025, the combined purchase intention ratio for 'planning to purchase within the next three years', 'planning to purchase within four to five years', and 'planning to purchase after five years' was 7% across all households. Among households earning above JPY 7.8 mn, the ratio was 9%, exceeding the 7% average for all households. In contrast, the ratio remained at 6% among households earning JPY 2.2-3.6 mn and 4% among households earning below JPY 2.2 mn, both below the all-household average (Exhibit 4).

The survey on latent car ownership intention, assuming no constraints such as financial limitations or driver's license ownership, also suggests stronger ownership intention among higher-income households. As of 2025, the combined ratio of households answering 'want to own' and 'somewhat want to own' reached 23% among households earning above JPY 7.8 mn. In contrast, the ratio remained at 19% among households earning below JPY 2.2 mn and 21% among households earning JPY 2.2-3.6 mn (Exhibit 5).

Another notable point is that the trend of declining interest in car ownership itself is becoming increasingly polarized by income bracket. In the same survey, 67% of non-owner households across all households answered that they did not intend to own a car, combining responses of 'do not want to own' and 'do not really want to own'. By income bracket, the ratio reached 70% among lower-income households earning below JPY 2.2 mn and 69% among households earning JPY 2.2-3.6 mn. In contrast, the ratio remained at 64% among higher-income households earning above JPY 7.8 mn.

EXHIBIT 4: Lower-income households tend to show weaker vehicle purchase demand


Source: JAMA, Bernstein analysis

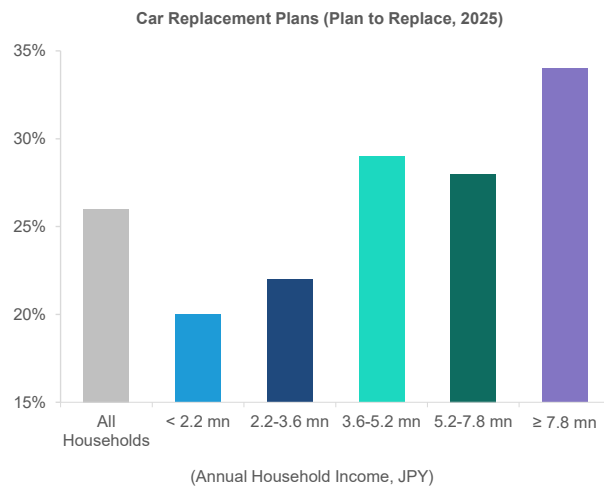
EXHIBIT 5: Higher-income households tend to show stronger vehicle ownership intention


Source: JAMA, Bernstein analysis

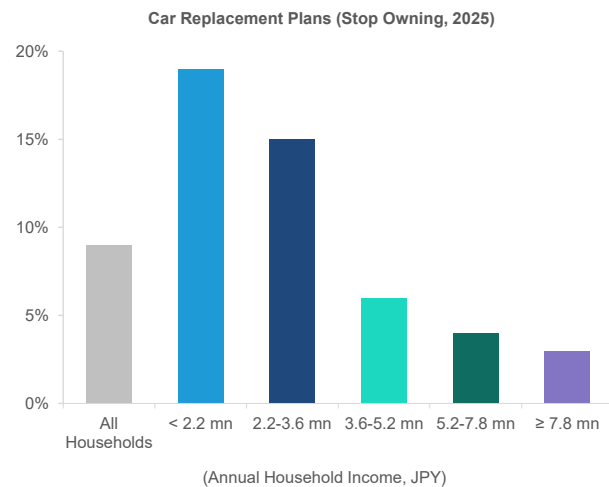
Some lower-income households are showing signs not only of weaker car replacement demand, but also of stopping car ownership altogether

K-shaped polarization is also becoming increasingly visible in replacement demand among car-owning households. As of 2025, the car replacement intention ratio across all households stood at 26%. By income bracket, the ratio reached 34% among higher-income households earning above JPY 7.8 mn, exceeding the all-household average. In contrast, the ratio remained at 22% among lower-income households earning JPY 2.2-3.6 mn and 20% among households earning below JPY 2.2 mn, both below the all-household average (Exhibit 6)

Meanwhile, some lower-income households are also showing signs of suspending car ownership altogether. As of 2025, the car ownership discontinuation intention ratio across all households stood at 9%. However, the ratio reached 19% among lower-income households earning below JPY 2.2 mn and 15% among households earning JPY 2.2-3.6 mn, both materially above the all-household average. In contrast, among households earning above JPY 7.8 mn, both below the all-household average (Exhibit 7).

EXHIBIT 6: K-shaped polarization is also emerging in replacement demand among car-owning households


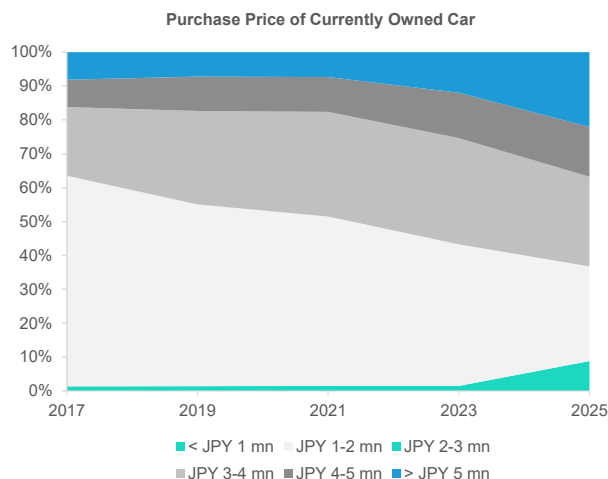
Source: JAMA, Bernstein analysis

EXHIBIT 7: Some lower-income households are also showing signs of suspending car ownership altogether


Source: JAMA, Bernstein analysis

K-shaped polarization is also progressing across the price ranges of currently owned cars

From 2017 to 2025, changes also emerged in the purchase price of new and used cars currently owned. While the share of low-end and high-end vehicles increased, the share of mid-priced vehicles declined. More specifically, the share of low-end vehicles priced below JPY 1 mn increased from 1% in 2017 to 6% in 2025, while the share of high-end vehicles priced above JPY 5 mn also increased from 6% to 15%. In contrast, the share of cars priced between JPY 1-2 mn, previously the largest volume segment, declined from 46% to 19%. Japan's auto market is seeing K-shaped polarization, with demand shifting away from the traditional mid-priced mass market toward both low-end and high-end vehicle segments (Exhibit 8).

EXHIBIT 8: The share of low-end vehicles priced below JPY 1 mn increased from 1% in 2017 to 6% in 2025, while the share of high-end vehicles priced above JPY 5 mn also increased from 6% to 15%


Note: Cars counted were purchased within the past two years

Source: JAMA, Bernstein analysis

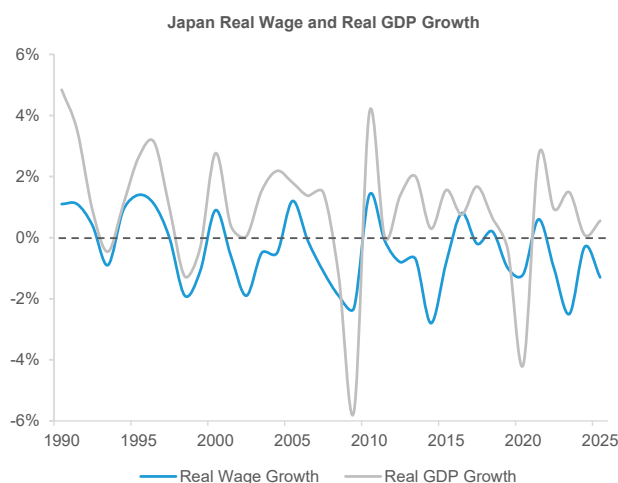
AFFORDABILITY PRESSURE IS WEAKENING CAR OWNERSHIP AMONG LOWER-INCOME HOUSEHOLDS

Japan's real purchasing power and real disposable income per capita have been trending downward amid prolonged low growth and inflation

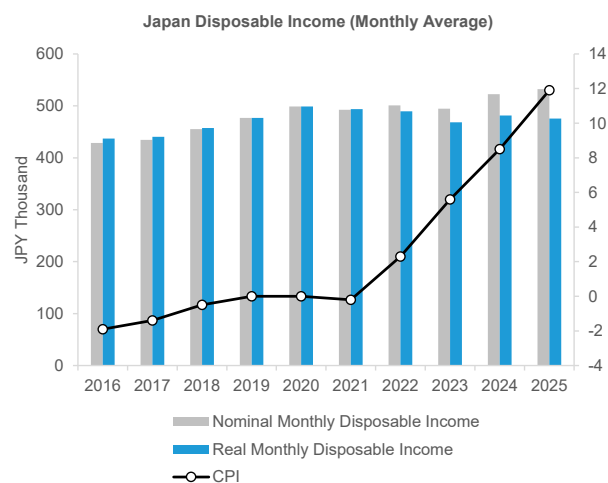
Rising financial burdens associated with car ownership are increasingly affecting individual car demand. Since the collapse of Japan's bubble economy in the 1990s, the country has experienced a prolonged period of low economic growth. Real GDP growth gradually declined from 4.8% in 1990, reaching -5.6% during the global financial crisis and -4.1% in 2020 amid the COVID-19 pandemic. Growth has since remained largely in the 0-1% range, suggesting that Japan's economy has remained in a long-term low-growth environment. Real wages, adjusted for inflation, have also remained sluggish and have been declining since 2021 (Exhibit 9).

In terms of nominal monthly disposable income over the past decade, household income appears to have improved at first glance, increasing 24% from JPY 429 thousand in 2016 to JPY 532 thousand in 2025. However, CPI has continued to rise since 2022 and reached 12p as of 2025. Reflecting the impact of inflation, real monthly disposable income declined 5% from its 2020 peak of JPY 499 thousand to JPY 476 thousand in 2025 (Exhibit 10).

EXHIBIT 9: As a result of prolonged stagnation in real GDP growth and real wages, real purchasing power per capita has been trending downward **EXHIBIT 10: Real monthly disposable income declined 5% from its 2020 peak of JPY 499 thousand to JPY 476 thousand in 2025**



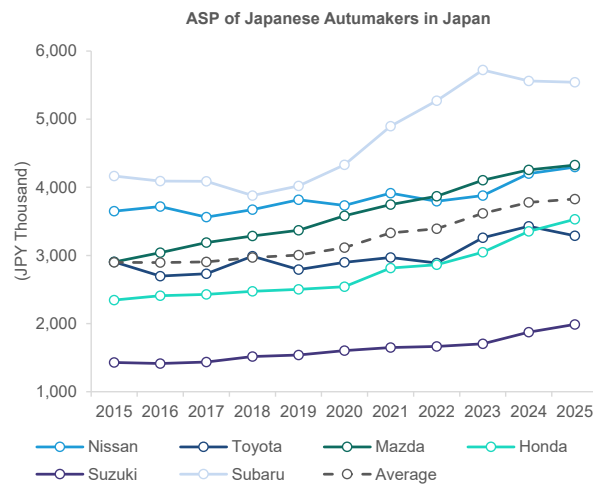
Source: Ministry of Health, Labour and Welfare, IMF, Bernstein analysis



Source: Ministry of Internal Affairs and Communications, Bernstein analysis

Lower purchasing power is leading to diverging ownership behavior

Japanese automakers' ASPs have generally trended upward since 2015, although the degree of increase has varied by company. Average ASP increased 32%, from JPY 2.9 mn in 2015 to JPY 3.8 mn in 2025. By automaker, Honda's ASP increased 50%, from JPY 2.3 mn to JPY 3.5 mn, while Mazda's ASP also increased 49%, from JPY 2.9 mn to JPY 4.3 mn. Suzuki, despite maintaining a sales mix centered on lower-priced cars, saw ASP increase 39%, from JPY 1.4 mn to JPY 2.0 mn. Subaru's ASP increased 33%, from JPY 4.2 mn to JPY 5.5 mn, while Toyota's ASP increased 13%, from JPY 2.9 mn to JPY 3.3 mn (Exhibit 11).

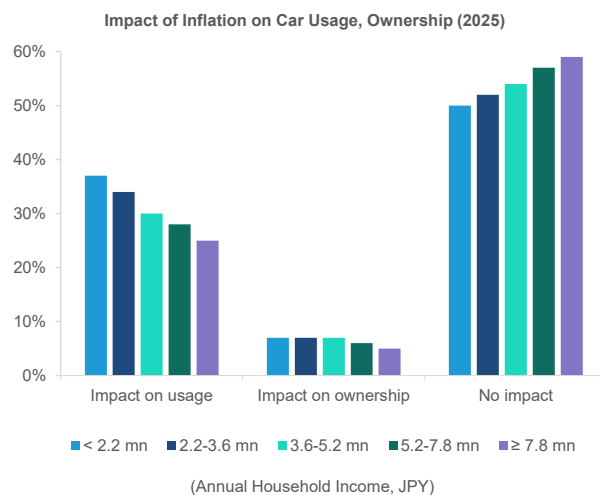
EXHIBIT 11: Industry average ASP increased 32%, from JPY 2.9 mn in 2015 to JPY 3.8 mn in 2025


Source: IHS, Company websites, Bernstein analysis

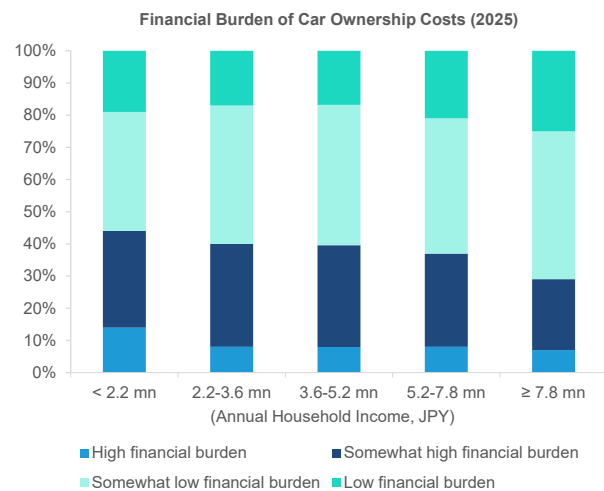
Inflation is having a larger impact on car usage and ownership among lower-income households. As of 2025, the ratio of households answering that inflation had an impact on car usage, including 'reduced frequency of car use', reached 37% among lower-income households earning below JPY 2.2 mn and 34% among households earning JPY 2.2-3.6 mn, the highest levels across all income brackets (Exhibit 12).

In contrast, the ratio declined as household income increased, falling to 25% among households earning above JPY 7.8 mn. Meanwhile, the ratio of households answering that there was 'no impact' stood at 50% among households earning below JPY 2.2 mn and 52% among households earning JPY 2.2-3.6 mn, while rising to 59% among households earning above JPY 7.8 mn.

The financial burden associated with car ownership is structurally heavier for lower-income households and relatively lighter for higher-income households. As of 2025, the combined ratio of households answering 'high financial burden' and 'somewhat high financial burden' reached 44% among lower-income households earning below JPY 2.2 mn and 40% among households earning JPY 2.2-3.6 mn, the highest levels across all income brackets. In contrast, the ratio remained at 29% among higher-income households earning above JPY 7.8 mn (Exhibit 13).

EXHIBIT 12: Inflation is having a larger impact on car usage and ownership among lower-income households


Source: JAMA, Bernstein analysis

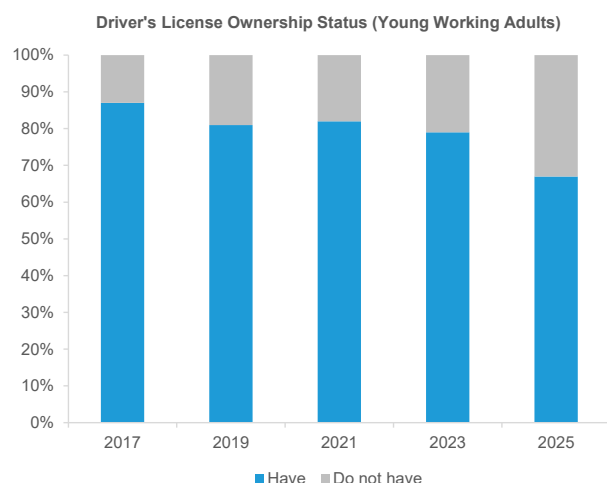
EXHIBIT 13: The financial burden is heavier for lower-income households


Source: JAMA, Bernstein analysis

Younger consumers are becoming less interested not only in car ownership itself, but also in obtaining a driver's license

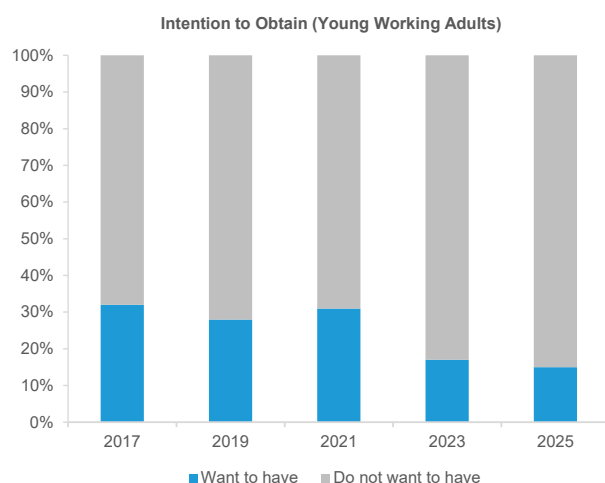
In Japan, driver's license ownership itself, a prerequisite for car ownership, is declining particularly among younger generations, potentially weakening the foundation for future car ownership demand. As of 2025, a survey targeting young working adults showed that the ratio of respondents answering that they 'hold a driver's license' stood at 67%, down 20%p from 87% in 2017 (Exhibit 14). Surveys targeting non-license holders also suggest that intention to obtain a driver's license has been declining in recent years. The ratio of respondents answering that they 'want to obtain a driver's license' declined 17%p, from 32% in 2017 to 15% in 2025 (Exhibit 15).

EXHIBIT 14: Driver's license ownership rates among young working adults declined from 87% in 2017 to 67% in 2025



Source: JAMA, Bernstein analysis

EXHIBIT 15: Intention to obtain a driver's license among young working adults declined from 32% in 2017 to 15% in 2025



Source: JAMA, Bernstein analysis

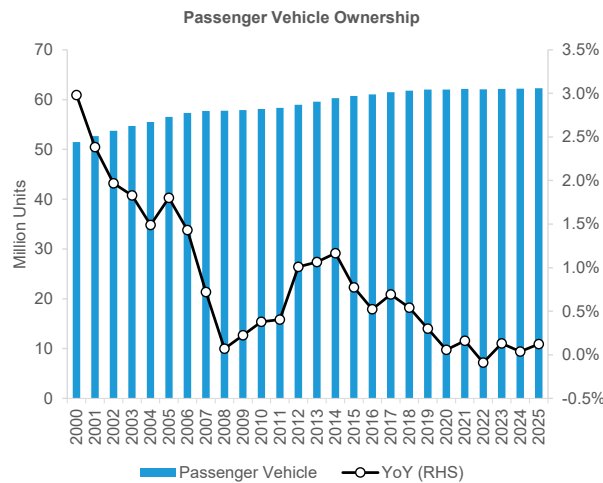
The majority of new car sales in Japan have been replacement demand for existing car rather than new ownership demand

Japan's passenger car ownership has continued to trend upward since the 2000s, although the growth rate has gradually slowed. Passenger car ownership increased from 57.7 mn units in 2008 to 62.3 mn units in 2025, while CAGR during the same period remained limited at 0.44%, with recent growth trending close to 0% (Exhibit 16). This suggests that most new vehicle sales in Japan in recent years may have been supported by replacement demand rather than incremental new demand.

Growth in the number of driver's license holders has also slowed. The number of licensed drivers in Japan increased from 74.7 mn people in 2000 to 82.3 mn people in 2018, but growth has since stagnated, turning into a declining trend after 2019. In addition, the number of newly licensed drivers has also continued to decline, falling from 2.1 mn people in 2000 to 1.1 mn people in 2024 (Exhibit 17).

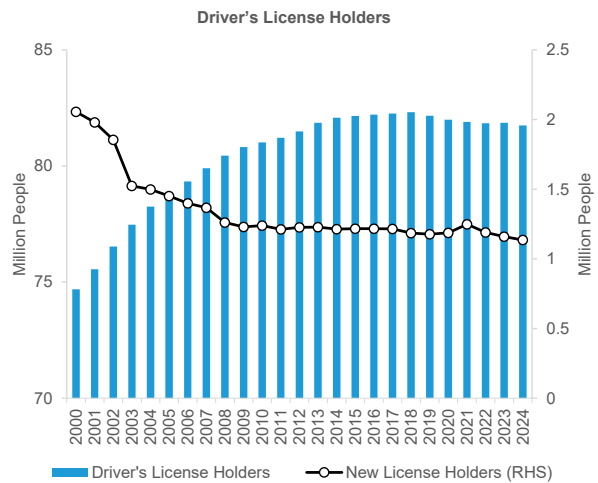
There is an extremely strong correlation between the number of driver's license holders and car ownership, with the correlation coefficient reaching $R^2=0.9966$ from 1970 to 2024. In addition, a strong correlation is also observed between the number of newly licensed drivers and the increase in passenger car registrations, with the correlation coefficient reaching $R^2=0.7446$ from 2000 to 2024 (Exhibit 18, Exhibit 19). These trends suggest that declines in the number of licensed drivers and newly licensed drivers could lead to slower growth in vehicle ownership and new vehicle demand over the medium to long term.

EXHIBIT 16: Growth in Japan's passenger car ownership has gradually slowed since the collapse of the bubble economy, with recent growth trending close to 0%



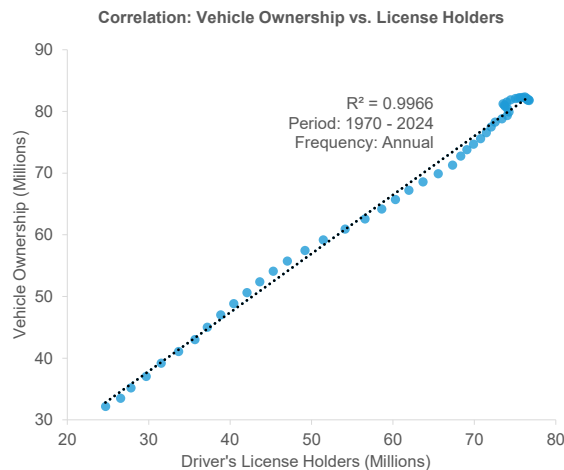
Source: Automobile Inspection & Registration Information Association, Bernstein analysis

EXHIBIT 17: The number of licensed drivers in Japan increased from 74.7 mn people in 2000 to 82.3 mn people in 2018, but has been declining since 2019



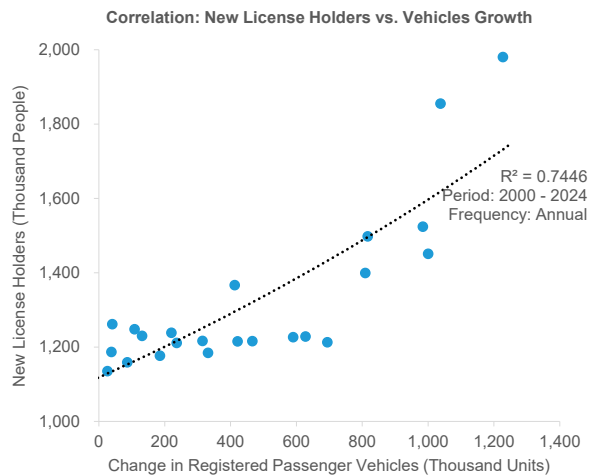
Source: National Police Agency, Bernstein analysis

EXHIBIT 18: Historically, growth in the number of licensed drivers generally coincided with growth in passenger car ownership



Source: Automobile Inspection & Registration Information Association, National Police Agency, Bernstein analysis

EXHIBIT 19: If the decline in newly licensed drivers continues, growth in new vehicle demand for individual ownership could also slow



Source: Automobile Inspection & Registration Information Association, National Police Agency, Bernstein analysis

AUTOMAKERS WITH EXPOSURE TO BOTH LOW-END AND HIGH-END DEMAND ARE BETTER POSITIONED

Toyota and Suzuki appear best positioned for a K-shaped market

K-shaped polarization in Japan's auto market could increasingly affect automakers' sales mix and profitability. Toyota's major sales models are distributed across a broad price range, from lower-priced to higher-priced segments. In addition to mass-market models such as Corolla and Yaris, higher-priced models above JPY 5 mn, including Alphard and Land Cruiser, also account for a certain portion of sales. Toyota is also characterized by relatively low dependence on any single model, with Yaris accounting for 9% of domestic sales, Corolla 6%, and Alphard 6%, suggesting a well-balanced sales mix across a broad product lineup (Exhibit 20).

In contrast, some automakers show a higher concentration in specific models. At Suzuki, Spacia accounts for 23% of domestic sales, while Forester accounts for 28% at Subaru and N BOX accounts for 27% at Honda, indicating that a single model represents more than 20% of domestic sales in some cases. Suzuki maintains a sales mix centered on lower-priced vehicles, with high dependence on Kei-cars priced below JPY 2 mn, including Spacia and Hustler. Meanwhile, Mazda has relatively high exposure to mid-to-high-priced models, with CX-5 accounting for 16%, CX-60 7%, and Roadster 7% of domestic sales. Honda maintains relatively balanced exposure from lower-priced to mid-priced segments, supported by models such as N BOX, Freed at 15%, Step WGN at 9%, and ZR-V at 3%.

In terms of the combined sales mix of the low-end segment below JPY 2 mn and the high-end segment above JPY 5 mn, Suzuki ranked highest at 74%, reflecting particularly strong exposure to the low-end segment. Meanwhile, Toyota recorded the second-highest ratio at 43%, consisting of 26% exposure to the low-end segment and 17% exposure to the high-end segment. In addition to the Toyota brand, the company benefits from Daihatsu, which has strength in lower-priced vehicles, and Lexus, its luxury brand, enabling balanced exposure to both lower-priced and higher-priced segments (Exhibit 21).

Honda also recorded relatively high exposure to the low-end segment at 37%, although exposure to the high-end segment remained limited at 1%, resulting in combined low-end and high-end segment exposure of 38%. Mazda recorded relatively high exposure to the mid-priced segment between JPY 2-5 mn, which accounted for 63% of sales mix, while combined low-end and high-end segment exposure stood at 37%. Subaru's sales mix was heavily concentrated in the JPY 3-5 mn price range, accounting for approximately 90% of total sales. While Subaru maintains high exposure to upper-mid-priced vehicles, combined low-end and high-end segment exposure remained limited at 10%.

EXHIBIT 20: K-shaped polarization in Japan's auto market could increasingly affect automakers' sales mix

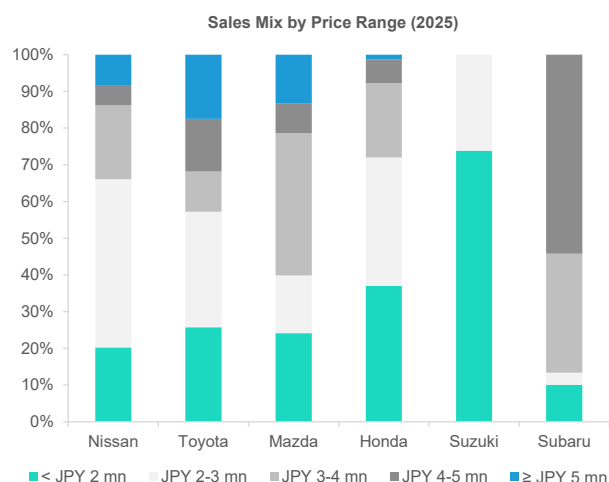
Nissan			Toyota			Mazda		
1	Car Name	Mix	MSRP	Car Name	Mix	MSRP	Car Name	Mix
1	Note	19%	2,719	Voxy	8%	4,066	CX-5	16%
2	Roox	18%	2,068	Hijet	7%	1,392	Mazda 2	16%
3	Serena	18%	3,943	Tanto	6%	1,653	Flair wagon	9%
4	Dayz	11%	1,798	Alphard	6%	10,225	CX-30	9%
5	NV100	5%	1,339	Sienta	5%	2,965	Mazda 3	8%
6	Caravan	5%	6,632	Raize	5%	2,003	CX-60	7%
7	X-Trail	5%	4,903	Roomy	5%	1,739	Roadster	7%
8	Sakura	4%	2,724	Yaris Cross	4%	2,555	CX-80	6%
9	NV200	3%	2,829	Hiace	4%	3,862	CX-3	5%
10	Kicks	2%	3,624	Yaris	4%	2,162	Flair Crossover	4%

Honda			Suzuki			Subaru		
1	Car Name	Mix	MSRP	Car Name	Mix	MSRP	Car Name	Mix
1	N BOX	27%	1,886	Spacia	23%	1,678	Forester	28%
2	Freed	15%	2,914	Hustler	12%	1,824	Crosstrek	20%
3	Vezel	11%	3,360	Every	11%	1,738	Levorg	14%
4	Step WGN	9%	3,774	Solio	7%	2,288	Impreza	10%
5	Fit	8%	2,178	Jimny	12%	2,039	Outback	6%
6	N-Joy	5%	2,112	Carry Pickup	7%	1,378	Chiffon	4%
7	N-VAN	5%	1,884	Wagon R	5%	1,630	Rex	3%
8	N-WGN	4%	1,699	Smile	5%	1,551	Stella	3%
9	WR-V	4%	2,490	Alto	4%	1,236	Samber Van	3%
10	ZR-V	3%	4,218	Swift	4%	2,030	BRZ	3%

Note: MSRP unit is JPY thousand

Source: IHS, Company websites, Bernstein analysis

EXHIBIT 21: Combined low-end and high-end segment exposure stands at 74% for Suzuki and 43% for Toyota



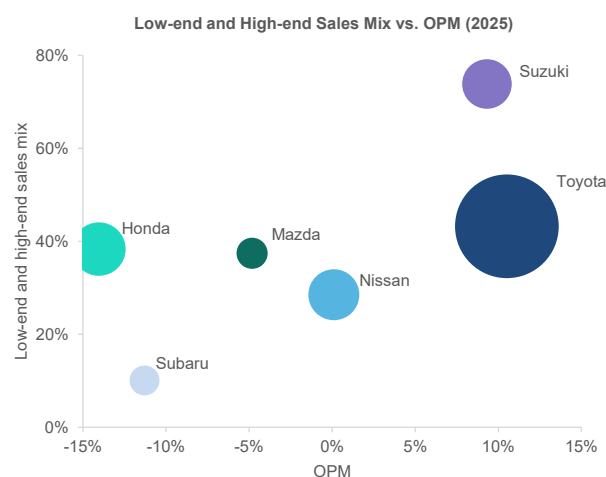
Source: IHS, Company websites, Bernstein analysis

Automakers with higher exposure to both low-end and high-end segments tend to maintain relatively higher operating profit margins in Japan. Toyota recorded 43% low-end and high-end exposure, while operating profit margin in Japan reached 11%, the highest level among Japanese automakers. Suzuki also recorded the highest exposure at 74%, while operating profit margin

reached 9%, suggesting that the company is benefiting from K-shaped polarization (Exhibit 22).

In contrast, Nissan's exposure stood at 29%, while operating profit margin remained around 0%. Mazda and Subaru recorded exposure levels of 37% and 10%, respectively, while operating profit margins stood at -5% and -11%. Honda recorded 38% exposure, although operating profit margin remained at -14%. This suggests that automakers with exposure to both low-end and high-end segments tend to maintain higher profitability under a K-shaped demand environment, with Toyota and Suzuki appearing relatively well positioned.

EXHIBIT 22: Automakers with exposure to both low-end and high-end segments tend to maintain higher profitability under a K-shaped demand environment



Note: Low-end denotes < JPY 2 mn, while high-end denotes $\geq$ JPY 5 mn; Bubble size is proportional to automotive sales in Japan

Source: IHS, Company websites, Bernstein analysis

SHARED MOBILITY BENEFITS AS CAR OWNERSHIP BECOMES LESS AFFORDABLE

Shared mobility offers stronger economic rationality than car ownership

Another factor supporting the adoption of shared mobility is its superior economic efficiency compared with individual car ownership. Car ownership involves substantial fixed costs, including parking fees, insurance premiums, and maintenance expenses. For users with limited annual driving distance, using car sharing or ride sharing only when necessary can be more cost-efficient than owning a car.

The assumptions used to compare annual usage costs among car ownership, car sharing, and ride sharing are as follows (Exhibit 23). Vehicle purchase cost is based on the average MSRP of the top 10 best-selling cars in Japan, assuming depreciation over eight years. Parking fees are based on the average monthly parking cost within Tokyo's 23 wards. Auto insurance premiums are calculated by dividing total voluntary insurance spending by the number of registered cars in Japan, resulting in annual voluntary insurance cost per car. Maintenance costs include mandatory inspections, compulsory automobile liability insurance, and parts replacement expenses.

For car sharing, the pricing structure of Times Car Share, the largest operator in Japan, is used, assuming a pay-as-you-go model based on usage time and travel distance. For ride sharing, pricing equivalent to current taxi fares in Japan is applied. In addition, car sharing usage assumptions include seven minutes of usage time per 1 km traveled and four trips per week.

Based on these assumptions, ride sharing is more affordable than car ownership when annual travel distance is below 2,000 km, while car sharing becomes more economically rational when annual travel distance is below 7,000 km (Exhibit 24). This is particularly relevant in urban areas, where public transportation usage is high and privately owned cars tend to be used infrequently and for shorter distances, increasing compatibility with shared mobility services.

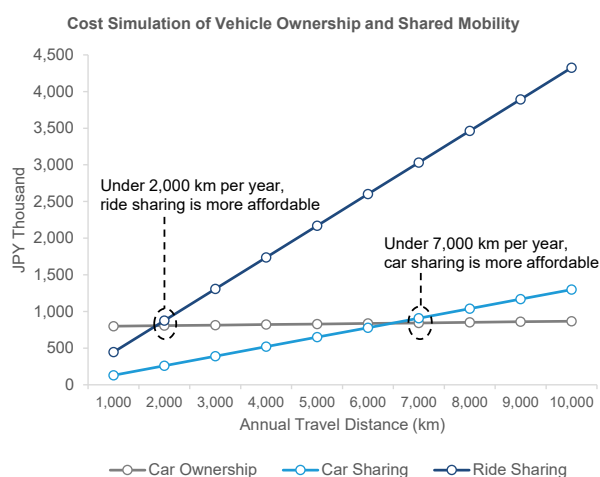
EXHIBIT 23: To compare annual usage costs among car ownership, car sharing, and ride sharing, assumptions were primarily based on car users in Tokyo

Assumptions	Period	Car Ownership	Car Sharing	Ride Sharing
Vehicle purchase cost	per 8 years	JPY 3,053,200	-	-
Parking fee	per 1 month	JPY 27,103	-	-
Auto insurance premium	per 1 year	JPY 25,008	-	-
Maintenance cost	per 1 year	JPY 60,000	-	-
Fuel cost	-	JPY 165 / liter	-	-
Base fare	-	-	-	JPY 500 (first 1km)
Time-based fee	-	-	JPY 220 / 15 minutes	-
Distance-based fee	-	-	JPY 20 / 1 km	JPY 100 / 232 m

Note: The purchased vehicle is depreciated over 8 years; Shared mobility assumes 4 trips per week; For car sharing, usage is assumed to be 7 minutes per 1 km; Maintenance cost includes periodic vehicle inspection costs, including compulsory automobile liability insurance, and associated parts replacement; Auto insurance premium refers to voluntary insurance.

Source: Ministry of Internal Affairs and Communications, Ministry of Land, Infrastructure, Transport and Tourism, Company websites, Bernstein analysis and estimates

EXHIBIT 24: Ride sharing is more affordable below 2,000 km annually, while car sharing is more affordable below 7,000 km than car ownership



Source: Ministry of Internal Affairs and Communications, Ministry of Land, Infrastructure, Transport and Tourism, Company websites, Bernstein analysis and estimates

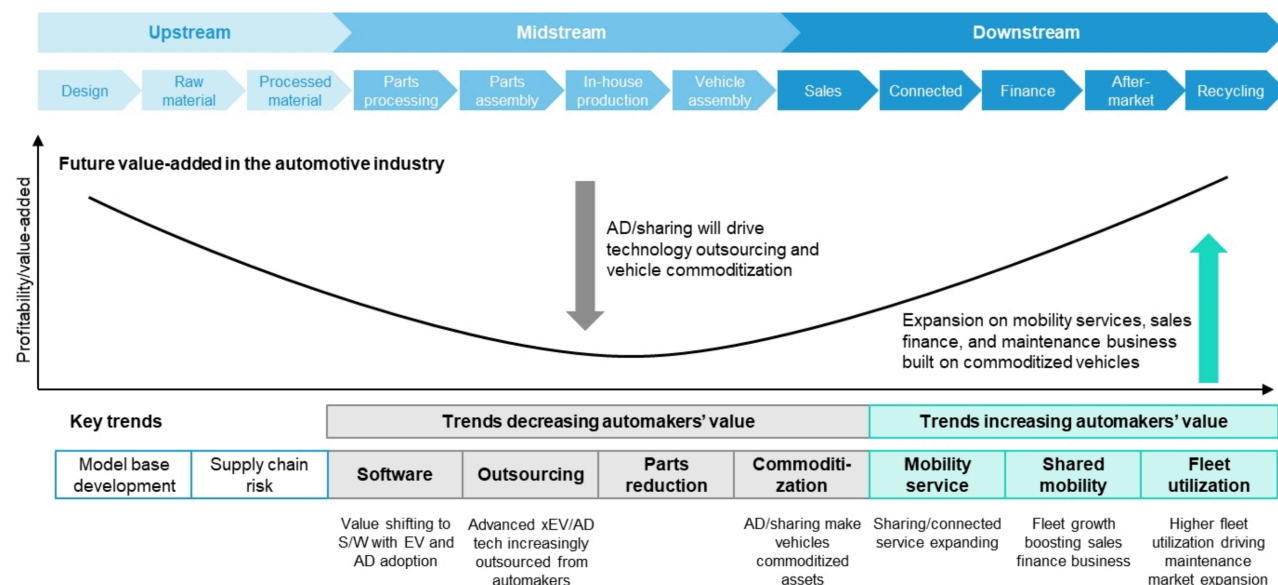
Shared mobility shifts value from car ownership to mobility ecosystems

Value creation in the automotive industry is gradually shifting from the traditional car ownership-centered model toward a mobility platform-centered model. Under the traditional automotive industry structure, automakers primarily generated one-time revenue through vehicle sales. In contrast, within the shared mobility market, continuous monetization through mobility services, software, data, and applications is becoming increasingly important relative to the vehicle itself. In particular, connected services, fleet-based mobility solutions, sales finance, and subscription services could become increasingly

important monetization models going forward.

Shared mobility vehicles generally maintain higher utilization rates compared with privately owned vehicles, creating structures that are more conducive to continuous monetization opportunities through vehicle inspections and parts replacement, software maintenance, fleet management, insurance, and sales finance. For automakers, the key factor is no longer simply vehicle sales, but rather how much recurring revenue can be generated throughout the entire lifecycle of each vehicle. As a result, value creation is gradually shifting away from traditional midstream car manufacturing toward upstream technology domains and downstream recurring-service businesses (Exhibit 25).

EXHIBIT 25: **Autonomy penetration will accelerate the shift of added value downstream in the car value chain**



Source: The Ministry of Economy, Trade and Industry of Japan, Bernstein analysis

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VALUATION METHODOLOGY**Toyota Motor Corporation**

We set a price target of JPY 4,200 using reset PBR (P/B multiple) of 1.26x against our FY3/28 BPS estimate of JPY 3,357.

Suzuki Motor Corporation

We set price target of JPY 2,550 using SOTP valuation. Per business segment, EV/EBITDA 13.8x applied to FY3/28 EBITDA estimates of JPY 447 bn for India business, EV/EBITDA 3.1x applied to FY3/28 EBITDA estimates of JPY 566 bn for non-India business.

Honda Motor Co Ltd

We set price target of JPY 1,300 using PBR (P/B multiple) of 0.36x against our FY3/28 BPS estimate of JPY 3,664.

Nissan Motor Co Ltd

We set price target of JPY 350 using PBR (P/B multiple) of 0.24x against our FY3/28 BPS estimate of JPY 1,479.

Mazda Motor Corporation

We set price target of JPY 1,000 using PBR (P/B multiple) of 0.39x against our FY3/28 BPS estimate of JPY 2,489.

Subaru Corporation

We set price target of JPY 2,350 using PBR (P/B multiple) of 0.56x against our FY3/28 BPS estimate of JPY 4,251.

RISKS**Toyota Motor Corporation**

Key downside risks would be 1) increase in US import tariffs, 2) slowdown in HEV demand, 3) delay of domestic production recovery.

Suzuki Motor Corporation

Key downside risks to our Suzuki price target would be 1) weaker-than-expected demand in India, 2) delay of new model launches in India, 3) delay in further tightening relationship with Toyota.

Honda Motor Co Ltd

Key upside risks to our Honda price target would be 1) announcement of further collaboration/consolidation with Sony, 2) reduction of future investment plans, 3) announcement of additional share buybacks. Key downside risks would be 1) increase in

US import tariffs, 2) announcement of merger with Nissan, 3) decline in motorcycle sales and profits.

Nissan Motor Co Ltd

Key upside risks to our Nissan price target would be 1) announcement of merger with external partners, 2) earlier-than-expected achievement of turnaround plans, 3) deeper collaboration with Honda.

Mazda Motor Corporation

Key upside risks to our Mazda price target would be 1) cancellation of additional US import tariffs, 2) JPY depreciation, 3) decrease in US incentives, 4) announcement of further collaboration/consolidation with Toyota.

Subaru Corporation

Key upside risks to our Subaru price target would be 1) JPY depreciation, 2) an earlier-than-expected ramp up at plants that resumed production, 3) announcement of further collaboration/consolidation with Toyota.

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Bernstein brand stock ratings are based on a 12-month time horizon.

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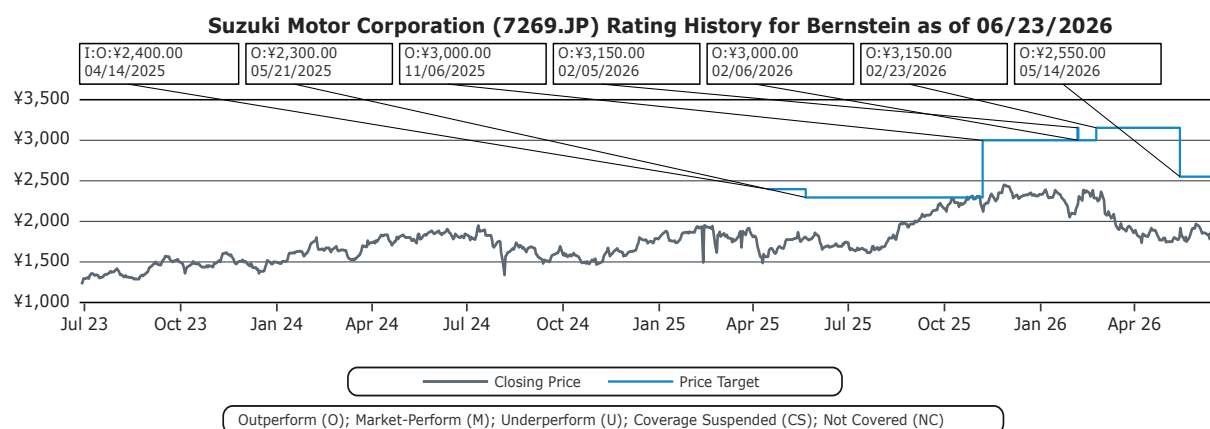
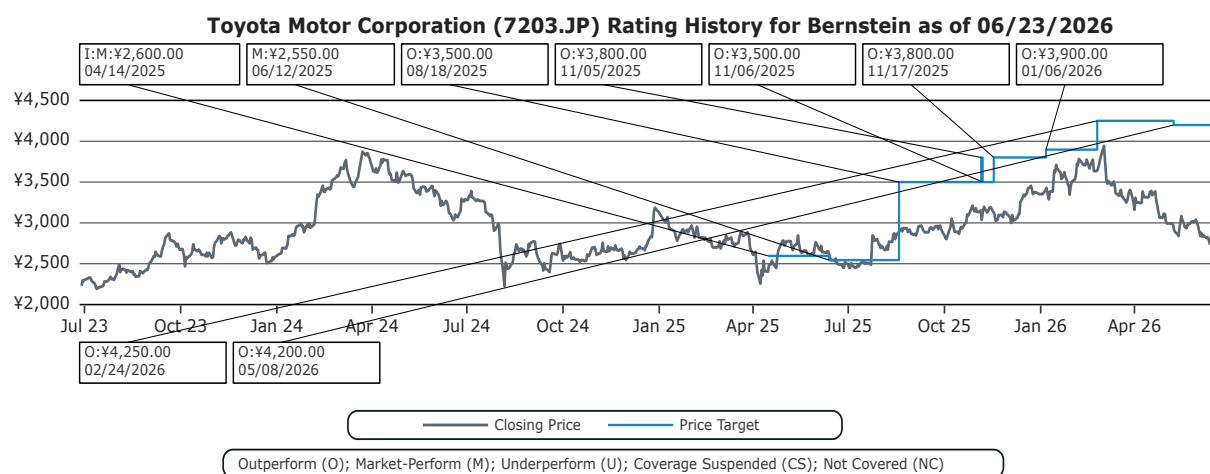
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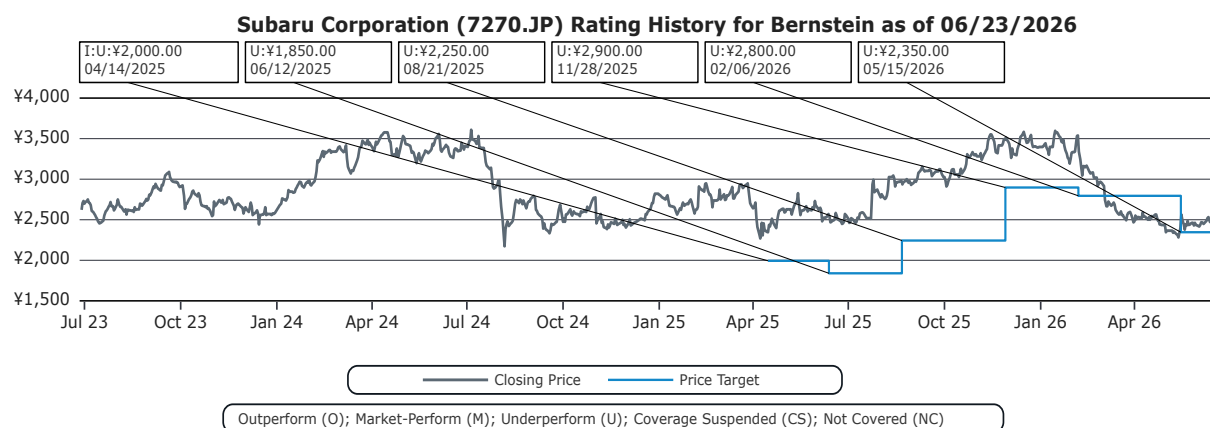
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As of March 31, 2026. All figures are updated quarterly.

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Honda Motor Co Ltd (7267.JP) Rating History for Bernstein as of 06/23/2026**Nissan Motor Co Ltd (7201.JP) Rating History for Bernstein as of 06/23/2026****Mazda Motor Corporation (7261.JP) Rating History for Bernstein as of 06/23/2026**



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